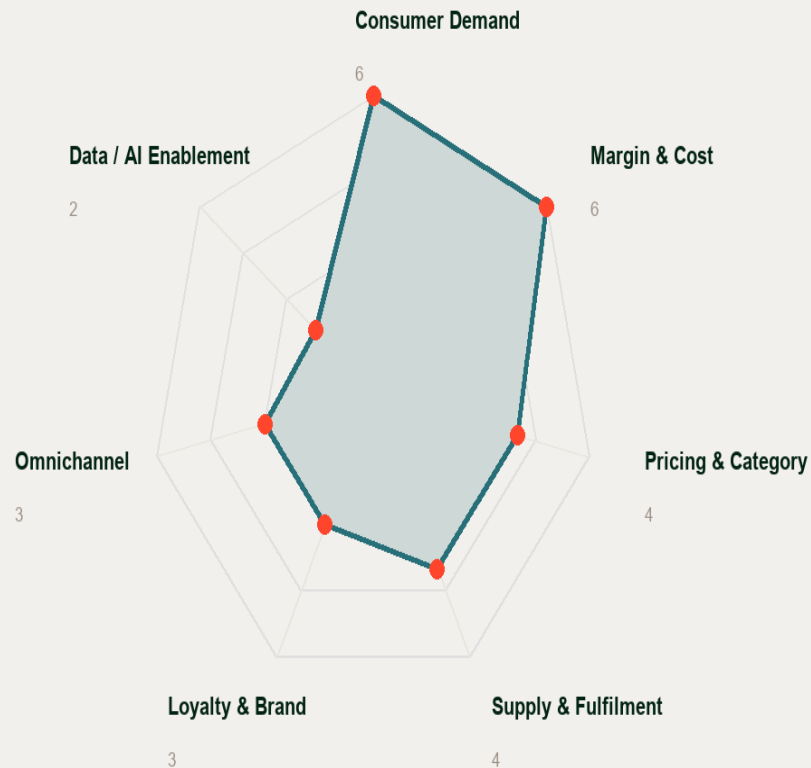


Online retail value battles are compressing margin headroom

AI-led demand, pricing and fulfilment will decide who keeps share

Industry priority frequency



SO WHAT

Recent retail and ecommerce research points to modest UK online sales growth, rising consumer price sensitivity, and intensifying competition across multi-category mar...

Consumer Demand

Frequency 6

Margin & Cost

Frequency 6

Pricing & Category

Frequency 4

The Very Group's value promise is strong but fragile

Trust, data use and fulfilment discipline now define future loyalty

Priority 1

Defend value perception while growing loyalty and basket economics.

Priority 2

Create operating leverage from supply-chain, store and digital modernization.

Priority 3

Protect customer trust while scaling data-led retailing.

Priority 4

Retail growth is being fought through value, loyalty and omnichannel convenience.

Priority 5

Supply-chain resilience and stock productivity are becoming margin differentiators.

Company interpretation

The Very Group Limited's board-level tension is whether trusted omnichannel execution can turn consumer Demand into margin expansion faster than retail peers can respo...

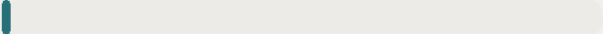
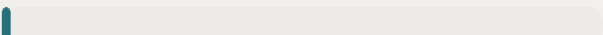
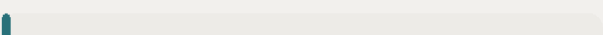
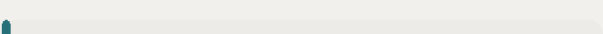
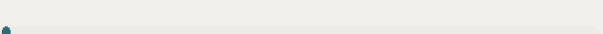
Latest revenue signal: GBP 2.1B (FY2025).

Use annual-report quotes and investor-relations data as the evidence base for every client-facing claim.

Very's scale is solid; margin resilience now the real test

Peer winners monetise data, stock turns and cost-to-serve relentlessly

Financial peer benchmark

Company	Revenue scale	Margin	Growth
The Very Group Limited	 USD 2M	11.8	-1.0
ASOS plc	 USD 2M	-	-14.7
THG plc	 USD 2M	[gap]	-1.9
AO World plc	 USD 1M	4.0	11.3
N Brown Group plc	 USD 601M	[gap]	-7.92
Currys plc	 USD 9254000.0B	[gap]	3

Benchmark interpretation

The Very Group Limited: revenue GBP 2.1B, EBITDA margin 11.8

ASOS plc: revenue GBP 2.5B, EBITDA margin -

THG plc: revenue GBP 1.7B, EBITDA margin [DATA GAP]

AO World plc: revenue GBP 1.3B, EBITDA margin 4.0

N Brown Group plc: revenue GBP 600.9M, EBITDA margin [DATA GAP]

Technology gaps are locking EBITDA in operations, not markets

Cloud, data and automation are now the main margin levers

Revenue

GBP 2.1B
Test digital growth, conversion, retention and pricing use cases.

Operating margin

[DATA GAP]
Target automation, cloud economics and operating-model simplification.

Growth

[DATA GAP]
Prioritise AI use cases that create scalable growth rather than isolated pilots.

Technology implications

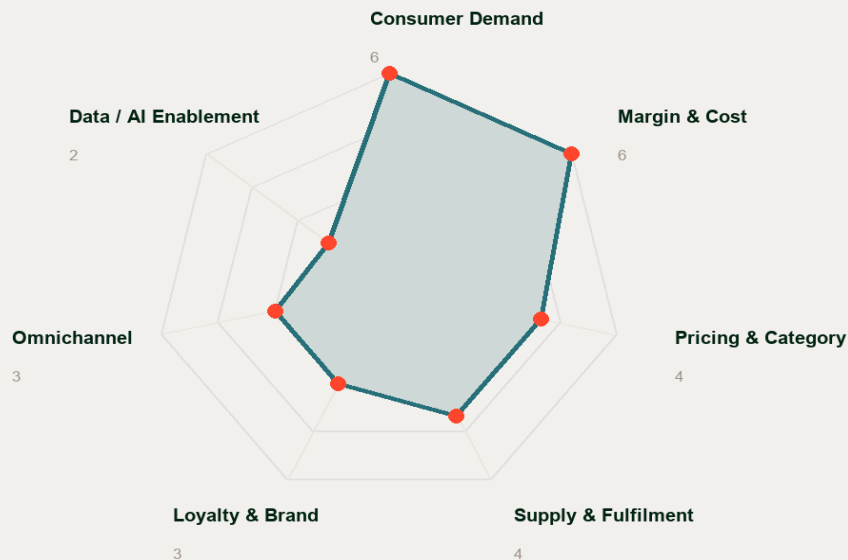
Qualify high-value AI use cases, data readiness, governance gaps and measurable business outcomes before platform investment. Evidence signal: Protect customer trust w...

Quantify run cost, resilience, technical debt and migration economics with the CIO, CTO and CFO.

Identify workflow, application and operating-model simplification candidates tied to productivity or service speed. Evidence signal: Create operating leverage from sup...

Connect board-level risk, critical services, identity and resilience evidence to funded control improvement. Evidence signal: Protect customer trust while scaling data...

Evidence-weighted technology signals



Rewire The Very Group around data-led, low-friction retailing

Target operating leverage from supply chain, cloud and journey redesign

AI value discovery and data readiness assessment

Qualify high-value AI use cases, data readiness, governance gaps and measurable business outcomes before platform investment. Evidence signal: Protect customer trust while scaling data-le...

Cloud economics and modernisation assessment

Quantify run cost, resilience, technical debt and migration economics with the CIO, CTO and CFO.

Process automation and platform rationalisation workshop

Identify workflow, application and operating-model simplification candidates tied to productivity or service speed. Evidence signal: Create operating leverage from supply-chain, store and...

Resilience, identity and cyber risk assessment

Connect board-level risk, critical services, identity and resilience evidence to funded control improvement. Evidence signal: Protect customer trust while scaling data-led retailing..

Customer journey and digital adoption workshop

Map revenue, retention and service-friction opportunities across the highest-value customer journeys. Evidence signal: Defend value perception while growing loyalty and basket economics..

Recommended C-suite engagement

CEO: link transformation to growth choices and customer trust.

CFO: quantify EBITDA, cash and risk-protection logic before solutioning.

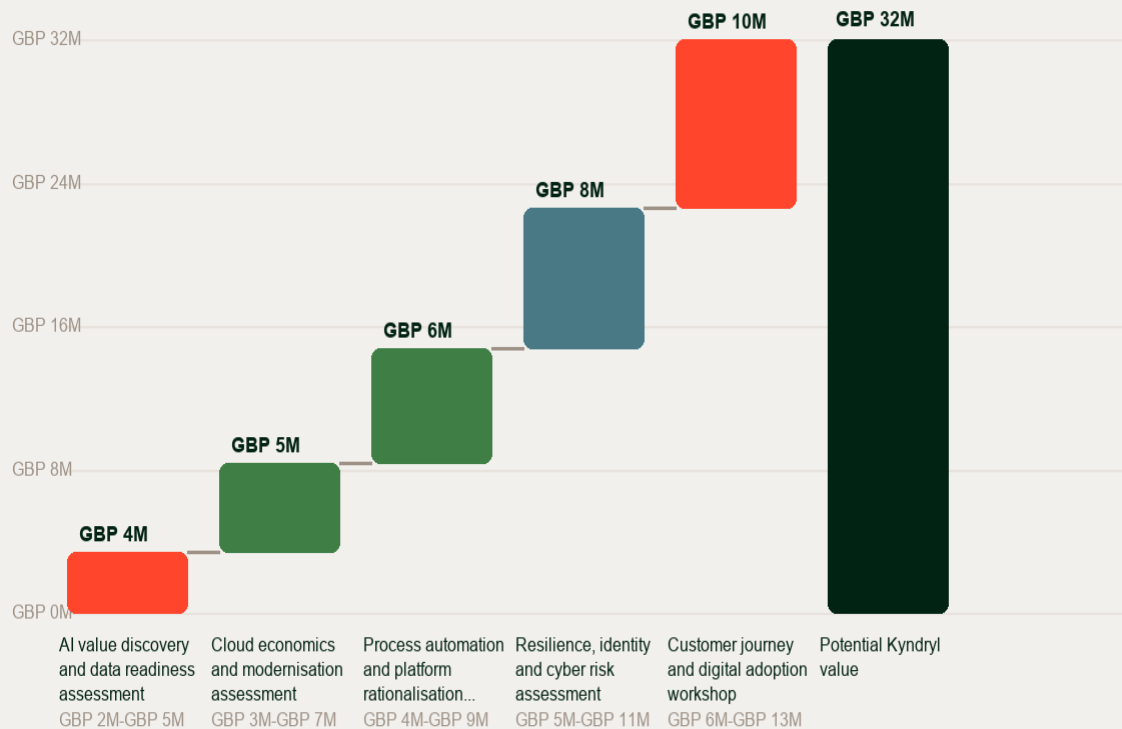
CIO/COO: agree the data, platform and delivery constraints that determine pace.

First ask: approve a focused value discovery sprint using the evidence base.

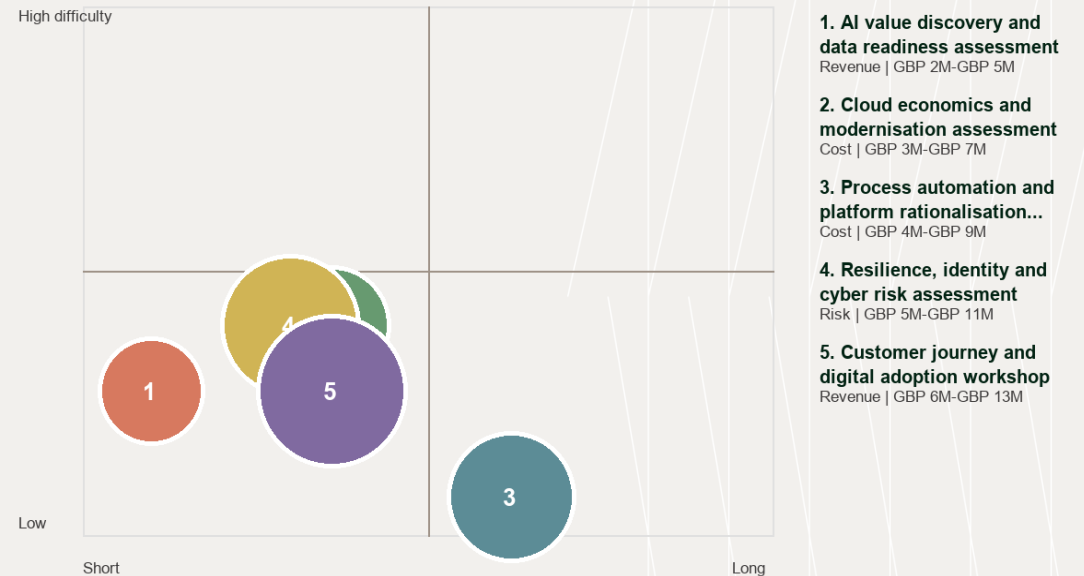
Focused AI use cases can unlock tens of millions in EBITDA

Prioritise journeys, stock and cyber resilience before platform spend

Potential Kyndryl value to customer



AI opportunity portfolio



Business case logic

Use the waterfall as a directional value hypothesis until validated with customer baselines.
 Prioritise use cases that connect to the stored ETS sales angles and peer productivity gaps.
 Separate EBITDA uplift from EBITDA protected so risk benefits are not double counted.

Start small, prove value, then industrialise AI across retail engines

Sequence discovery, modernisation and automation to fund the next wave

0-90 days

Prove

Value discovery, data readiness, executive value case and two pilots.

AI value discovery and data readiness assessment
Cloud economics and modernisation assessment

3-12 months

Scale

Industrialise the highest-confidence use cases and align platform guardrails.

Process automation and platform rationalisation workshop
Resilience, identity and cyber risk assessment

12-24 months

Transform

Extend AI into operating-model, customer and risk workflows with benefit tracking.

Customer journey and digital adoption workshop